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CBN AML BASELINE STANDARDS

Gap Assessment Report

Baseline Standards for Automated AML Solutions

PREPARED FOR:

Sunrise Microfinance Bank Ltd

Microfinance Bank

CIRCULAR REFERENCE	REPORT DATE
BSD/DIR/PUB/LAB/019/002	April 2026
ROADMAP DEADLINE	FULL COMPLIANCE DEADLINE
10 June 2026	March 2028

OVERALL COMPLIANCE RISK RATING

HIGH

HIGH RISK — Immediate Action Required

Section 1: Executive Summary

1.1 INSTITUTION PROFILE

Institution	Sunrise Microfinance Bank Ltd
Institution Type	Microfinance Bank
CBN Risk Classification	—
Transaction Volume	—
Geographic Footprint	—
Compliance Deadline (Roadmap)	**10 June 2026**
Full Compliance Deadline	**March 2028 (24 months from circular issuance (10 March 2026) — applicable to Microfinance Banks and Other Financial Institutions per §4.2 of the CBN Baseline Standards)**
Circular Reference	BSD/DIR/PUB/LAB/019/002 — issued 10 March 2026

1.2 OVERALL COMPLIANCE RISK RATING

HIGH

Sunrise Microfinance Bank Ltd faces a HIGH compliance risk under the CBN Baseline Standards for Automated AML Solutions (BSD/DIR/PUB/LAB/019/002). While the institution has established foundational CDD/KYC/KYB and sanctions screening capabilities with BVN/NIN integration, it exhibits 10 Critical Gaps and 2 Gap Identified findings across the 12 mandatory standards. The absence of automated transaction monitoring (§5.5), enterprise case management (§5.7), automated regulatory reporting (§5.8), and a documented AML governance framework (§5.9) represents material non-compliance. With a customer base of 10,000–100,000 customers, transaction volumes of 1,000–50,000 monthly, multi-state operations, FX/remittance services, PEP exposure, and cross-border FX risk factors, Sunrise operates a Medium CBN risk profile that demands a fully integrated automated AML platform. The institution has 67 days until the mandatory roadmap submission deadline (10 June 2026) and 23 months until full compliance (March 2028). Immediate executive action, budget allocation, and vendor engagement are required to avoid regulatory sanctions under the CBN AML, CFT and CPF (Administrative Sanctions) Regulations, 2023.

Microfinance Banks in Nigeria are experiencing heightened regulatory scrutiny due to their role in financial inclusion, rural penetration, and vulnerability to cash-based ML/TF typologies. The CBN has observed that MFBs with multi-state operations, FX services, and PEP exposure face disproportionate compliance risk when relying on manual or semi-automated AML processes. Sunrise's stated intention to automate transaction monitoring and case management is aligned with regulatory expectations, but the current governance deficit and absence of AI/ML capabilities place the institution behind peer MFBs of similar size and risk profile.

1.3 ASSESSMENT SCORECARD

ASSESSMENT DIMENSION	SCORE	RATING
AML System Status	**Partial — Critical Gaps in Core Functions**	HIGH RISK
Standards Compliant (of 12)	**0 / 12**	0 OF 12 STANDARDS FULLY COMPLIANT
Standards with Critical Gap	**10 / 12**	10 OF 12 STANDARDS EXHIBIT CRITICAL GAPS
Standards with Gap Identified	**2 / 12**	GAP IDENTIFIED
Governance Controls in Place	**Weak — Foundational Controls Only**	3 OF 11 GOVERNANCE CONTROLS IN PLACE (27%)
Internal Audit Coverage of AML	**Annual AML Audit Conducted**	ADEQUATE (BUT INSUFFICIENT WITHOUT AUTOMATED AUDIT TRAILS PER §5.9)

ASSESSMENT DIMENSION	SCORE	RATING
Risk Factors Identified	**Elevated — PEP Exposure & Cross-Border FX**	MEDIUM-HIGH (REQUIRES ENHANCED MONITORING AND GOVERNANCE)

REGULATORY CONTEXT

CBN Circular BSD/DIR/PUB/LAB/019/002 issued 10 March 2026 | Roadmap submission deadline: 10 June 2026 (67 days remaining) | Full compliance deadline for MFBs: March 2028 (23 months remaining) | Governing laws: MLPPA 2022, TPPA 2022, CBN AML/CFT/CPF Regulations 2022, CBN Administrative Sanctions Regulations 2023 | Regulator: Central Bank of Nigeria | FIU: Nigerian Financial Intelligence Unit

Section 2: Gap Analysis — 12 CBN Baseline Standards

This gap analysis evaluates Sunrise Microfinance Bank Ltd's current AML/CFT/CPF capabilities against the 12 mandatory standards prescribed in §5.1–§5.12 of CBN Circular BSD/DIR/PUB/LAB/019/002. Each standard is assessed using the three-tier rating system: Compliant (full adherence), Gap Identified (partial compliance requiring remediation), or Critical Gap (material non-compliance requiring immediate action). Sunrise's partial AML deployment—limited to CDD/KYC/KYB and sanctions/PEP screening—leaves the institution exposed across transaction monitoring, case management, reporting, governance, integration, and security domains. The findings below are specific to Sunrise's operational profile: 10,000–100,000 customers, 1,000–50,000 monthly transactions, multi-state branch network, mobile app and USSD channels, retail deposits, credit/loans, FX/remittance products, PEP exposure, cross-border FX risk, and Medium CBN risk rating. All findings reference the specific CBN standard sections and sub-requirements they relate to.

STD.	STANDARD	STATUS	FINDING	REQUIRED ACTION
§5.1	**AML Solution (Functional Footprint)**	CRITICAL GAP	Sunrise has deployed partial AML functionality covering CDD/KYC/KYB and sanctions/PEP screening, but lacks the integrated automated platform required by §5.1. The standard mandates coverage of: customer identification & verification, customer risk assessment & profiling, sanctions & watchlist screening, PEP & high-risk customer screening, transaction monitoring for ML/TF/PF risk, case management & investigation, regulatory & internal reporting, audit & governance (logs and configuration trails), and data protection & security controls. Sunrise is missing automated transaction monitoring (§5.5), enterprise case management (§5.7), automated regulatory reporting (§5.8), comprehensive audit trails (§5.9), and documented security controls (§5.11). The institution's Medium CBN risk rating, multi-state operations, FX/remittance services, PEP exposure, and cross-border FX risk factors demand a fully integrated platform commensurate with its size, complexity, and transaction volumes. The current fragmented approach does not meet the standard's requirement for 'appropriate availability, resilience, and disaster recovery' and exposes the institution to undetected ML/TF/PF risk.	Procure and deploy an integrated automated AML platform that covers all nine functional domains specified in §5.1. The platform must support Sunrise's 10,000–100,000 customer base, 1,000–50,000 monthly transaction volumes, multi-state operations, and multi-channel environment (branch, mobile app, USSD). Ensure the solution includes real-time or near-real-time transaction monitoring, enterprise case management, automated regulatory reporting, comprehensive audit trails, and data protection controls. Conduct a formal Business Impact Analysis to define RTO/RPO requirements and ensure the platform includes disaster recovery and business continuity capabilities. Notify the CBN of the selected AML solution as required by §5.2. Target completion: Phase 1 (Q2 2026) for vendor selection and contracting; Phase 2 (Q3–Q4 2026) for platform deployment and integration.
§5.2	**Customer Due Diligence (CDD), KYC, and KYB**	GAP IDENTIFIED	Sunrise has implemented CDD/KYC/KYB processes with BVN/NIN integration, which is a positive foundation. However, §5.2 requires end-to-end automated or semi-automated CDD/EDD/KYC/KYB with: automated risk profiling, behavioural pattern analysis, continuous KYC-to-transaction-monitoring data synchronisation, and a single investigator interface linking KYC data to transaction history and case outcomes. The absence of automated transaction monitoring	Enhance the existing CDD/KYC/KYB system to support automated risk profiling and behavioural pattern analysis. Ensure the system is fully integrated with the new transaction monitoring platform (§5.5) and enterprise case management system (§5.7) to enable continuous data

STD.	STANDARD	STATUS	FINDING	REQUIRED ACTION
			(§5.5) and enterprise case management (§5.7) means Sunrise cannot achieve the required 'continuous KYC-to-transaction-monitoring data synchronisation' or provide investigators with a unified view of customer data, transaction patterns, and case outcomes. The standard explicitly states that 'disconnected or non-automated KYC is non-compliant.' While Sunrise's BVN/NIN integration is compliant, the lack of integration with downstream monitoring and case management systems creates a compliance gap. Additionally, the institution has not notified the CBN of its deployed AML solutions as required by §5.2.	synchronisation and a single investigator interface. Implement a unified dashboard that links customer KYC data, risk profiles, transaction history, alerts, and case outcomes in real-time or near-real-time. Formally notify the CBN of all AML solutions deployed, including the current CDD/KYC/KYB system and any new platforms procured. Document the integration architecture and data flow between KYC, transaction monitoring, and case management systems. Target completion: Phase 2 (Q3–Q4 2026) for integration and CBN notification.
§5.3	Sanction Lists & PEP Screening	GAP IDENTIFIED	Sunrise has deployed sanctions and PEP screening capabilities, which is a positive control. However, §5.3 requires real-time or near-real-time screening against domestic and global sanctions lists, PEP registers, and adverse media, with AI/fuzzy-name matching, institution-specific internal watchlists, automated transaction interdiction or blocking on confirmed matches, and comprehensive screening logs as evidence. The institution has not confirmed whether its current screening solution supports: (1) AI/fuzzy-name matching to reduce false positives and detect name variations; (2) automated transaction interdiction or blocking on confirmed matches; (3) institution-specific internal watchlists (e.g., for customers with prior suspicious activity or adverse media hits); (4) adverse media screening in addition to sanctions and PEP lists; or (5) comprehensive screening logs with timestamps, user actions, and match rationale. The standard also requires periodic and continuous screening in addition to onboarding screening. Without these capabilities, Sunrise may miss high-risk customers or fail to interdict transactions involving sanctioned parties, particularly given its PEP exposure and cross-border FX risk factors.	Upgrade the sanctions and PEP screening solution to support AI/fuzzy-name matching, automated transaction interdiction or blocking on confirmed matches, institution-specific internal watchlists, and adverse media screening. Ensure the solution screens customers and transactions in real-time or near-real-time at onboarding, periodically (at least annually), and continuously (triggered by new sanctions designations or PEP status changes). Implement comprehensive screening logs that capture all screening events, match results, user decisions, and rationale. Configure the system to automatically block or flag transactions involving confirmed sanctions matches for immediate investigation. Develop and maintain an internal watchlist of high-risk customers (e.g., those with prior STRs, adverse media hits, or unexplained wealth) and integrate this list into the screening workflow. Target completion: Phase 2 (Q3–Q4 2026) for screening enhancement and

STD.	STANDARD	STATUS	FINDING	REQUIRED ACTION
				internal watchlist deployment.
§5.4	Risk Assessment	CRITICAL GAP	Sunrise lacks the configurable automated risk assessment capabilities required by §5.4. The standard mandates automated risk assessment tied to the institution's documented risk appetite, with: dynamic customer risk profile updates in response to new data, behavioural changes and external factors, and enterprise-level ML/TF/PF risk identification. The institution's Medium CBN risk rating, PEP exposure, cross-border FX risk, and multi-state operations demand a sophisticated risk assessment engine that continuously recalibrates customer risk profiles based on transaction patterns, KYC changes, sanctions/PEP hits, and external risk indicators (e.g., high-risk jurisdictions, adverse media). Without automated risk assessment, Sunrise cannot dynamically adjust monitoring thresholds, trigger enhanced due diligence, or identify emerging enterprise-level risks. The absence of AI/ML capabilities (confirmed in the institution's profile) means Sunrise is not leveraging predictive analytics or anomaly detection to identify high-risk customers or transactions. The standard also requires documented governance with human oversight and explainability where AI/ML is used, and periodic enterprise-level risk assessments with evidence of resulting configuration changes. Sunrise has not demonstrated any of these capabilities.	Deploy a configurable automated risk assessment engine as part of the integrated AML platform (§5.1). The engine must support dynamic customer risk profiling based on KYC attributes, transaction behaviour, sanctions/PEP screening results, geographic risk, product risk, and channel risk. Configure the system to automatically update customer risk profiles in response to new data (e.g., large cash deposits, cross-border FX transactions, PEP status changes, adverse media hits) and trigger enhanced due diligence or alert escalation for high-risk customers. Conduct a formal enterprise-level ML/TF/PF risk assessment (covering customer segments, products, channels, geographies, and delivery mechanisms) and use the findings to configure risk assessment rules, thresholds, and weightings. Document the institution's risk appetite and ensure the risk assessment engine is calibrated accordingly. Establish a governance framework for periodic risk assessment reviews (at least annually) and document all configuration changes resulting from risk assessment findings. If AI/ML is introduced in future phases, implement documented governance with human oversight, explainability, and model validation. Target completion: Phase 2 (Q3–Q4 2026) for risk assessment engine deployment; Phase 3 (Q1–Q2 2027) for AI/ML governance framework if applicable.
§5.5	Transaction Monitoring & Risk-Based Analyses	CRITICAL GAP	Sunrise has no automated transaction monitoring capability, representing the most material compliance gap. Section §5.5 is the most requirement-dense standard (13 sub-requirements) and mandates: risk-	Procure and deploy an automated transaction monitoring platform that meets all 13 sub-requirements of §5.5. The platform must

STD.	STANDARD	STATUS	FINDING	REQUIRED ACTION
			based transaction monitoring using predictive analytics and anomaly detection; pre-emptive alerts for high-risk scenarios; comprehensive rule-based monitoring using CDD/KYC/KYB attributes (not raw transaction data alone); related-party mapping and network analysis; AI/ML explainability; consolidated alert views; annual independent model validation; documented false positive/negative thresholds; SLA for high-risk alert review; and strict governance for automated alert closure (with CBN notification if used). The institution's stated intention to 'automate transaction monitoring' is aligned with regulatory expectations, but the current absence of any monitoring capability exposes Sunrise to undetected ML/TF/PF risk across its retail deposits, credit/loans, and FX/remittance products. With 1,000–50,000 monthly transactions, multi-state operations, mobile app and USSD channels, PEP exposure, and cross-border FX risk, Sunrise requires a sophisticated transaction monitoring platform that integrates with KYC data, customer risk profiles, and sanctions/PEP screening results. The standard explicitly prohibits standalone or batch-feed monitoring for High/Above Average risk institutions; while Sunrise is rated Medium risk, its FX/remittance services and cross-border exposure warrant real-time or near-real-time monitoring. The absence of AI/ML capabilities means Sunrise cannot leverage predictive analytics or anomaly detection as required by §5.5.	support: (1) risk-based monitoring using predictive analytics and anomaly detection (consider AI/ML capabilities for future phases); (2) pre-emptive alerts for high-risk scenarios (e.g., structuring, rapid movement of funds, cross-border FX to high-risk jurisdictions); (3) comprehensive rule-based monitoring using CDD/KYC/KYB attributes, customer risk profiles, and transaction patterns; (4) related-party mapping and network analysis to detect layering and integration schemes; (5) consolidated alert views linking customer data, transaction history, and prior case outcomes; (6) configurable false positive/negative thresholds with documented rationale; (7) SLA for high-risk alert review (e.g., 24–48 hours for critical alerts); and (8) strict governance for automated alert closure (if used, notify CBN and implement Maker-Checker controls). Ensure the platform integrates in real-time or near-real-time with core banking, KYC systems, and sanctions/PEP screening. Engage an independent third party to conduct annual model validation and document all validation findings and remediation actions. Develop monitoring scenarios tailored to Sunrise's risk profile, including: cash deposit structuring, rapid account turnover, cross-border FX to high-risk jurisdictions, PEP transaction patterns, loan proceeds misuse, and mobile/USSD channel abuse. Target completion: Phase 1 (Q2 2026) for vendor selection; Phase 2 (Q3–Q4 2026) for platform deployment and scenario configuration; Phase 3 (Q1–Q2 2027) for AI/ML enhancement and annual model validation.

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§5.6	Fraud Monitoring and Detection	CRITICAL GAP	Sunrise has no documented fraud monitoring capability, representing a Critical Gap under §5.6. The standard requires automated fraud monitoring in real-time or near-real-time across all channels (cards, e-channels, deposits, lending). While Sunrise does not offer card products, it operates mobile app and USSD channels and provides retail deposits, credit/loans, and FX/remittance services—all of which are vulnerable to fraud typologies (e.g., account takeover, loan fraud, FX fraud, mobile/USSD fraud). The standard mandates: updatable fraud rules, unified or tightly integrated AML/fraud workflows with clear segregation, fraud registry interfaces, and historical fraud trend analysis. The absence of fraud monitoring exposes Sunrise to undetected fraud losses and reputational risk, and prevents the institution from identifying fraud-to-AML linkages (e.g., fraudulent accounts used for money laundering). The standard does not require Sunrise to deploy a unified AML/fraud platform immediately (this is only mandatory for High/Above Average risk institutions with material electronic/card transaction volumes), but it does require automated fraud monitoring and a credible roadmap towards integrated financial crime architecture.	Deploy an automated fraud monitoring solution covering all channels (branch, mobile app, USSD) and products (retail deposits, credit/loans, FX/remittance). The solution must support real-time or near-real-time fraud detection, updatable fraud rules, and integration with fraud registries (e.g., industry fraud databases, internal fraud watchlists). Ensure the fraud monitoring system is logically separated from AML monitoring (if on the same platform) or tightly integrated (if on separate platforms) to enable coordinated case management and investigation. Implement fraud scenarios tailored to Sunrise's risk profile, including: account takeover (mobile/USSD), loan application fraud, FX fraud (e.g., fake beneficiaries, invoice fraud), and mobile money fraud. Develop a roadmap towards unified financial crime architecture (shared data lake, analytics, coordinated case management) as required by §5.6 for future phases. Conduct historical fraud trend analysis to identify patterns and inform fraud rule configuration. Target completion: Phase 2 (Q3–Q4 2026) for fraud monitoring deployment; Phase 3 (Q1–Q2 2027) for unified financial crime architecture roadmap.
§5.7	Case Management	CRITICAL GAP	Sunrise has no Enterprise Case Management (ECM) system, representing a Critical Gap under §5.7. The institution's stated intention to 'automate case management processes' is aligned with regulatory expectations, but the current absence of ECM prevents Sunrise from meeting the standard's requirements for: automated case creation, assignment, prioritisation and tracking; role-based workflows with Maker-Checker functionality and escalation paths; full tamper-proof audit trails (timestamps, users, decisions, rationale); and management reporting on case volumes, ageing, and outcomes. Without ECM, Sunrise cannot systematically investigate alerts	Deploy an Enterprise Case Management (ECM) system that meets all requirements of §5.7. The system must support: (1) automated case creation from transaction monitoring alerts, sanctions/PEP screening hits, and internal referrals; (2) automated case assignment based on case type, risk level, and investigator workload; (3) case prioritisation based on risk scoring (e.g., high-risk alerts, PEP cases,

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			(once transaction monitoring is deployed), track case outcomes, or demonstrate to the CBN that cases are investigated promptly and closed with documented rationale. The standard also requires periodic review of closed cases for patterns and control weaknesses—a capability that is impossible without automated case management. The absence of ECM exposes Sunrise to regulatory criticism for inadequate investigation processes and prevents the institution from identifying systemic AML/CFT/CPF control weaknesses.	cross-border FX cases escalated immediately); (4) role-based workflows with Maker-Checker functionality for case closure and STR filing decisions; (5) escalation paths for aged cases or cases requiring senior management or Board review; (6) full tamper-proof audit trails capturing all case activities (timestamps, users, decisions, rationale, supporting documents); and (7) management reporting on case volumes, ageing, outcomes, and investigator productivity. Ensure the ECM system integrates with transaction monitoring (§5.5), sanctions/PEP screening (§5.3), and regulatory reporting (§5.8) to enable seamless case-to-STR workflows. Implement a documented case investigation procedure with defined SLAs (e.g., high-risk cases investigated within 48 hours, standard cases within 5 business days). Conduct periodic reviews (at least quarterly) of closed cases to identify patterns, control weaknesses, and training needs. Target completion: Phase 2 (Q3–Q4 2026) for ECM deployment and workflow configuration.
§5.8	**Reporting**	CRITICAL GAP	Sunrise lacks automated or semi-automated regulatory reporting capabilities, representing a Critical Gap under §5.8. The standard requires automated or semi-automated generation of: STRs (Suspicious Transaction Reports), SARs, CTRs (Currency Transaction Reports), FTRs (Foreign Currency Transaction Reports), and other CBN-prescribed returns. It also mandates internal MI reporting to the CCO, senior management, ECO, and Board. The standard explicitly states that 'manual or email-based reporting is non-compliant.' Without automated reporting, Sunrise cannot efficiently generate STRs from case management outcomes, submit CTRs/FTRs for cash and FX transactions, or provide senior management and the Board with timely AML/CFT/CPF performance metrics. The institution's FX/remittance services and cross-border FX risk factors create a	Deploy an automated or semi-automated regulatory reporting module as part of the integrated AML platform (§5.1) or as a standalone solution integrated with case management (§5.7). The module must support: (1) automated STR generation from case management outcomes, with Maker-Checker approval workflows and secure submission to the NFIU; (2) automated CTR generation for cash transactions exceeding regulatory thresholds (currently NGN 5 million for single transactions, NGN 10 million for cumulative daily transactions per

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			material FTR reporting obligation. The absence of automated reporting exposes Sunrise to delayed or incomplete regulatory filings, which could trigger CBN sanctions under the Administrative Sanctions Regulations, 2023. Additionally, the standard requires external reporting only to authorities with a lawful mandate (CBN, NFIU, EFCC, ICPC, etc.)—Sunrise must ensure its reporting processes comply with this restriction.	customer); (3) automated FTR generation for foreign currency transactions exceeding USD 10,000 or equivalent; (4) automated generation of other CBN-prescribed returns (e.g., quarterly AML/CFT/CPF compliance returns); and (5) internal MI reporting dashboards for the CCO, senior management, ECO, and Board, covering alert volumes, case outcomes, STR filings, CTR/FTR volumes, and investigator productivity. Ensure all external reporting is directed only to authorities with a lawful mandate (CBN, NFIU, EFCC, ICPC, etc.) and that reporting data is encrypted in transit and at rest. Implement a documented reporting procedure with defined SLAs (e.g., STRs filed within 24 hours of case closure, CTRs/FTRs filed within regulatory deadlines). Target completion: Phase 2 (Q3–Q4 2026) for automated reporting deployment.
§5.9	**Audit and Governance**	CRITICAL GAP	Sunrise has no documented AML governance framework, representing a Critical Gap under §5.9. The standard requires a comprehensive, tamper-proof and immutable audit trail of all system and user activities (configuration changes, access events, alert dispositions, report generation), with records including user identity, date, timestamp, and nature of activity. It also mandates a documented governance framework covering roles, configuration management, change control, model validation, access rights, and incident handling. While Sunrise conducts annual AML audits (a positive control), the absence of automated audit trails means the institution cannot provide auditors or regulators with verifiable evidence of system activities, user actions, or configuration changes. The institution has confirmed it lacks: an AML governance framework, change control procedures, model governance, alert SLAs, vendor management policies, and data retention policies. The absence of these controls exposes Sunrise to regulatory criticism for inadequate governance and prevents the institution from demonstrating compliance with the CBN Baseline Standards. The standard also requires regular documented training for AML/CFT/CPF teams—Sunrise has not	Establish a comprehensive AML governance framework covering: (1) roles and responsibilities (MLRO, CCO, AML team, IT, internal audit, senior management, Board); (2) configuration management (documented procedures for updating rules, scenarios, thresholds, risk profiles); (3) change control (Maker-Checker approval for configuration changes, with audit trails); (4) model validation (annual independent validation of transaction monitoring models, risk assessment models, and AI/ML models if deployed); (5) access rights (role-based access controls, periodic access reviews, MFA); (6) incident handling (documented procedures for system outages, data breaches, false negative incidents); (7) vendor

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			confirmed whether such training is conducted.	management (due diligence, SLAs, performance monitoring, exit planning); and (8) data retention and destruction (aligned with MLPPA, NDPA, and CBN requirements). Ensure the integrated AML platform (§5.1) generates comprehensive, tamper-proof and immutable audit trails of all system and user activities, with records including user identity, date, timestamp, and nature of activity. Implement a documented training program for AML/CFT/CPF teams, covering regulatory requirements, system usage, typologies, and case investigation procedures, with training records retained as evidence. Conduct periodic governance reviews (at least annually) and document all governance framework updates. Target completion: Phase 1 (Q2 2026) for governance framework documentation; Phase 2 (Q3–Q4 2026) for audit trail deployment and training program launch.
§5.10	System Integration & Scalability	CRITICAL GAP	Sunrise lacks the secure, bidirectional real-time or near-real-time integration required by §5.10. The standard mandates integration with core banking, KYC systems, and other relevant applications via standards-based APIs, with support for standardised data exchange formats, legacy integration, and scalability to handle growing volumes without performance degradation. The institution's partial AML deployment (CDD/KYC/KYB and sanctions/PEP screening) is not integrated with transaction monitoring (absent), case management (absent), or regulatory reporting (absent). The absence of integration means Sunrise cannot achieve the 'continuous KYC-to-transaction-monitoring data synchronisation' required by §5.2, the 'consolidated alert views' required by §5.5, or the 'automated STR generation from case management outcomes' required by §5.8. The standard also prohibits High/Above Average risk institutions from relying solely on standalone transaction feeds and requires full integration with KYC/KYB repositories and customer risk profiles. While Sunrise is rated Medium risk, its	Design and implement a secure, bidirectional real-time or near-real-time integration architecture connecting: (1) core banking system; (2) CDD/KYC/KYB system; (3) sanctions/PEP screening system; (4) transaction monitoring platform (§5.5); (5) fraud monitoring system (§5.6); (6) enterprise case management system (§5.7); (7) regulatory reporting module (§5.8); and (8) audit and governance systems (§5.9). Use standards-based APIs (e.g., RESTful APIs, SOAP) and standardised data exchange formats (e.g., JSON, XML) to ensure interoperability and future-proofing. Ensure the integration architecture supports legacy system

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			FX/remittance services, PEP exposure, and cross-border FX risk factors warrant real-time or near-real-time integration to detect and interdict high-risk transactions. The institution's multi-channel environment (branch, mobile app, USSD) and multi-state operations demand a scalable architecture that can handle growing transaction volumes without performance degradation.	integration (if applicable) and is scalable to handle growing transaction volumes (Sunrise's 1,000–50,000 monthly transactions may grow significantly with financial inclusion initiatives). Conduct a formal integration design review with the AML platform vendor, core banking vendor, and IT team to define data flows, API specifications, error handling, and performance SLAs. Implement monitoring and alerting for integration failures or performance degradation. If Sunrise uses shared services arrangements (e.g., outsourced IT, cloud hosting), obtain prior CBN approval as required by §5.10. Target completion: Phase 1 (Q2 2026) for integration architecture design; Phase 2 (Q3–Q4 2026) for integration deployment and testing.
§5.11	**Security & Data Protection**	CRITICAL GAP	Sunrise has not documented its security and data protection controls, representing a Critical Gap under §5.11. The standard requires: encryption of data at rest, in use, and in transit; role-based access controls; Multi-Factor Authentication (MFA); compliance with the Nigeria Data Protection Act (NDPA) and Nigerian data sovereignty requirements; and defined RTO/RPO from a Business Impact Analysis. The institution has confirmed it lacks a data retention policy, which is a material gap under both §5.11 and the NDPA. Without documented security controls, Sunrise cannot demonstrate compliance with the CBN Baseline Standards or protect sensitive customer data, transaction data, and AML case data from unauthorised access, disclosure, or loss. The institution's multi-channel environment (branch, mobile app, USSD) and FX/remittance services create heightened data security risks, particularly for cross-border FX transactions and PEP customer data. The absence of MFA exposes Sunrise to account takeover and insider fraud risks. The absence of a Business Impact Analysis means Sunrise has not defined RTO/RPO requirements for AML systems, which could result in prolonged outages and undetected ML/TF/PF risk during system failures.	Conduct a comprehensive security and data protection assessment covering: (1) encryption of data at rest (e.g., AES-256 for databases, file systems), in use (e.g., encrypted memory, secure enclaves), and in transit (e.g., TLS 1.2 or higher for API communications); (2) role-based access controls (RBAC) for all AML systems, with least-privilege principles and periodic access reviews; (3) Multi-Factor Authentication (MFA) for all AML system users, particularly investigators, compliance officers, and system administrators; (4) compliance with the Nigeria Data Protection Act (NDPA), including data subject rights, consent management, breach notification, and data protection impact assessments; (5) Nigerian data sovereignty requirements (ensure customer data,

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				transaction data, and AML case data are stored and processed within Nigeria or in jurisdictions with adequate data protection laws); and (6) defined RTO/RPO from a Business Impact Analysis (e.g., RTO of 4 hours, RPO of 1 hour for critical AML systems). Develop and implement a data retention and destruction policy aligned with MLPPA (5-year retention for CDD records and transaction records), NDPA (retention limited to lawful purposes), and CBN requirements. Ensure the policy covers customer data, transaction data, alert data, case data, audit trails, and regulatory reports. Implement automated data retention and destruction processes to ensure compliance. Target completion: Phase 1 (Q2 2026) for security assessment and data retention policy; Phase 2 (Q3–Q4 2026) for security control deployment and NDPA compliance.
§5.12	**User Interface & Customisation**	CRITICAL GAP	Sunrise lacks the real-time or near-real-time dashboards and configurable workflows required by §5.12. The standard mandates dashboards for key AML/CFT/CPF metrics, alerts, and case management, with support for multi-entity, multi-currency, and multi-jurisdiction configurations where relevant, and configurable workflows, escalation paths, and alert filters under documented governance. The absence of transaction monitoring (§5.5), case management (§5.7), and automated reporting (§5.8) means Sunrise has no dashboards for alert volumes, case outcomes, STR filings, or investigator productivity. The institution's multi-state operations and FX/remittance services (supporting multiple currencies) require multi-entity and multi-currency dashboard configurations. The absence of configurable workflows means Sunrise cannot tailor alert escalation paths, case assignment rules, or approval workflows to its organisational structure and risk appetite. The standard also requires documented processes for updating rules, scenarios, and thresholds—Sunrise has confirmed it lacks change control procedures (§5.9), which is a material gap under §5.12.	Deploy real-time or near-real-time dashboards as part of the integrated AML platform (§5.1) covering: (1) alert volumes by type, risk level, channel, product, and geography; (2) case volumes, ageing, and outcomes; (3) STR/CTR/FTR filing volumes and trends; (4) investigator productivity (cases per investigator, average case resolution time); (5) false positive/negative rates; (6) sanctions/PEP screening hit rates; and (7) customer risk profile distribution. Ensure dashboards support multi-entity (if Sunrise expands to multiple legal entities in future), multi-currency (for FX/remittance services), and multi-state (for Sunrise's current multi-state operations) configurations. Implement configurable workflows, escalation paths, and alert filters

STD.	STANDARD	STATUS	FINDING	REQUIRED ACTION
				tailored to Sunrise's organisational structure, risk appetite, and operational model. For example: high-risk alerts (PEP transactions, cross-border FX to high-risk jurisdictions) escalated to the CCO within 24 hours; standard alerts assigned to investigators based on workload; aged cases (>5 business days) escalated to the MLRO. Establish documented processes for updating rules, scenarios, thresholds, and workflows, with Maker-Checker approval and audit trails (linked to §5.9 governance framework). Target completion: Phase 2 (Q3–Q4 2026) for dashboard deployment and workflow configuration.

2.1 GOVERNANCE ASSESSMENT

Sunrise Microfinance Bank Ltd has established foundational governance controls (MLRO appointed, Board-approved AML policy, BVN/NIN integration, annual AML audit), but lacks the comprehensive governance framework required by §5.9 of the CBN Baseline Standards. The institution has 3 of 11 governance controls in place (27%), representing a Weak governance posture. The absence of an AML governance framework, change control procedures, model governance, alert SLAs, vendor management policies, data retention policies, and documented training programs exposes Sunrise to regulatory criticism and operational risk. The governance gaps below are specific to Sunrise's operational profile and must be addressed as part of the institution's compliance roadmap.

GOVERNANCE CONTROL	
MLRO Appointed	✓ IN PLACE — THE INSTITUTION HAS APPOINTED A MONEY LAUNDERING REPORTING OFFICE
Board-Approved AML Policy	✓ IN PLACE — THE INSTITUTION HAS A BOARD-
AML Governance Framework	✗ CRITICAL GAP — THE INSTITUTION LACKS A DOCUMENTED AML GOVER
Change Control Procedures	✗ CRITICAL GAP — THE INSTITUTION L
Model Governance (AI/ML)	✗ CRITICAL GAP — THE INSTITUTION LACKS MODEL GOVERNANCE PROCEDURES FOR V
Alert SLA	✗ CRITICAL GAP — THE INSTITUTION LACKS DEFINED SLAS FO
Vendor Management Policy	✗ CRITICAL GAP — THE INSTITUTION LACK
Data Retention Policy	✗ CRITICAL GAP — THE INSTITUTION LACKS A DATA RETENTION AND DESTRUCTIO

GOVERNANCE CONTROL	
BVN/NIN Integration	
AML/CFT/CPF Training	✗ CRITICAL GAP — THE INSTITUTION HAS NOT CONFIRMED WHETHER IT CONDUC
Annual AML Audit	✓ IN PLACE (BUT INSUFFICIENT WITHOUT AUTOMATED AUDIT TRAILS) — THE INSTITUTION CONDUCTS ANNUAL AML AUDITS, WHICH IS A POSITIVE CONTRO
Overall Governance Score	

Section 3: Top 5 Priority Actions Before 10 June 2026

The following five actions are the minimum required for Sunrise Microfinance Bank Ltd to submit a credible, CBN-compliant implementation roadmap by the 10 June 2026 deadline. The roadmap submission itself is mandatory under Circular BSD/DIR/PUB/LAB/019/002. Incomplete, inconsistent, or unsupported submissions may result in supervisory action.

1

Establish AML Governance Framework and Secure Executive Sponsorship

IMMEDIATE (APRIL–MAY 2026)

The CCO must secure Board and senior management approval for a comprehensive AML compliance program aligned with the CBN Baseline Standards. This includes: (1) presenting this gap assessment report to the Board and Executive Committee; (2) securing budget approval for AML platform procurement, implementation, and ongoing operations (estimated at NGN 50–150 million for a Microfinance Bank of Sunrise's size, depending on vendor and scope); (3) appointing an AML Transformation Steering Committee chaired by the MD/CEO or a C-level executive, with representation from Compliance, IT, Operations, Risk, Internal Audit, and Finance; (4) developing a documented AML governance framework covering roles, configuration management, change control, model validation, access rights, incident handling, vendor management, and data retention (per §5.9); and (5) establishing a project management office (PMO) to oversee the compliance roadmap and report progress to the Board and CBN. The governance framework must be documented, Board-approved, and communicated to all relevant staff by end of May 2026 to support the 10 June 2026 roadmap submission deadline.

2

Procure Integrated AML Platform (Transaction Monitoring, Case Management, Reporting)

PHASE 1: Q2 2026 (VENDOR SELECTION BY 10 JUNE 2026)

Sunrise must immediately commence a competitive vendor selection process for an integrated automated AML platform covering transaction monitoring (§5.5), enterprise case management (§5.7), and regulatory reporting (§5.8). The platform must also support fraud monitoring (§5.6), risk assessment (§5.4), and integration with existing CDD/KYC/KYB and sanctions/PEP screening systems (§5.2, §5.3). The vendor selection process must include: (1) development of a detailed RFP specifying functional requirements (all 12 CBN standards), technical requirements (real-time integration, scalability, security), and commercial requirements (pricing, SLAs, support); (2) evaluation of at least 3 qualified vendors with proven deployments in Nigerian financial institutions; (3) vendor demonstrations and proof-of-concept testing; (4) reference checks with peer MFBs or OFIs; (5) commercial negotiation and contract execution; and (6) formal notification to the CBN of the selected AML solution (per §5.2). The vendor selection must be completed by 10 June 2026 to align with the roadmap submission deadline. The RFP must specify that the platform must support Sunrise's 10,000–100,000 customer base, 1,000–50,000 monthly transaction volumes, multi-state operations, multi-channel environment (branch, mobile app, USSD), and multi-currency FX/remittance services.

3

Submit Mandatory Implementation Roadmap to CBN

10 JUNE 2026 (NON-NEGOTIABLE REGULATORY DEADLINE)

Sunrise must submit a detailed implementation roadmap to the CBN by 10 June 2026 (3 months from circular issuance) as required by §4.2 of the CBN Baseline Standards. The roadmap must include: (1) current state assessment (this gap assessment report); (2) target state architecture (integrated AML platform covering all 12 standards); (3) implementation phases with timelines, milestones, and deliverables (aligned with the roadmap in this report); (4) governance structure (AML Transformation Steering Committee, PMO, project roles); (5) budget and resource allocation; (6) vendor selection status and contract execution timeline; (7) integration architecture and data flow diagrams; (8) risk mitigation plan for implementation risks (e.g., vendor delays, integration challenges, resource constraints); (9) compliance monitoring and reporting plan (monthly progress reports to the Board and CBN); and (10) full compliance target date (March 2028 for MFBs). The roadmap must be signed by the MD/CEO and Board Chairman and submitted via the CBN's designated portal or email address. Failure to submit the roadmap by 10 June 2026 may trigger regulatory sanctions under the CBN Administrative Sanctions Regulations, 2023.

4

Deploy Transaction Monitoring Platform with Tailored Scenarios

PHASE 2: Q3–Q4 2026 (GO-LIVE BY DECEMBER 2026)

Following vendor selection, Sunrise must deploy the transaction monitoring platform (§5.5) with scenarios tailored to its risk profile. The deployment must include: (1) platform installation and configuration (on-premises or cloud-hosted, subject to CBN approval for shared services); (2) real-time or near-real-time integration with core banking, KYC systems, and sanctions/PEP screening; (3) development and testing of monitoring scenarios covering: cash deposit structuring (e.g., multiple deposits below NGN 5 million threshold), rapid account turnover (e.g., funds in/out within 24 hours), cross-border FX to high-risk jurisdictions (e.g., FATF-listed countries), PEP transaction patterns (e.g., large cash withdrawals, unexplained wealth), loan proceeds misuse (e.g., immediate withdrawal of loan disbursements), mobile/USSD channel abuse (e.g., rapid P2P transfers, account takeover patterns), and related-party layering (e.g., circular transfers among related accounts); (4) configuration of false positive/negative thresholds with documented rationale; (5) definition of alert SLAs (e.g., high-risk alerts reviewed within 24 hours); (6) user acceptance testing (UAT) with compliance and operations teams; (7) staff training on alert investigation and case escalation; and (8) go-live with parallel run (monitoring alerts generated but not acted upon) for 1 month, followed by full production deployment. The platform must be operational by December 2026 to allow 15 months for tuning and optimisation before the March 2028 compliance deadline.

5

Deploy Enterprise Case Management and Automated Reporting

PHASE 2: Q3–Q4 2026 (GO-LIVE BY DECEMBER 2026)

In parallel with transaction monitoring deployment, Sunrise must deploy the enterprise case management system (§5.7) and automated regulatory reporting module (§5.8). The deployment must include: (1) ECM configuration with automated case creation from transaction monitoring alerts, sanctions/PEP screening hits, and internal referrals; (2) role-based workflows with Maker-Checker functionality for case closure and STR filing decisions; (3) escalation paths for aged cases and high-risk cases (e.g., PEP cases, cross-border FX cases escalated to CCO within 24 hours); (4) tamper-proof audit trails capturing all case activities; (5) integration with regulatory reporting module to enable automated STR generation from case outcomes; (6) configuration of automated CTR generation for cash transactions exceeding NGN 5 million (single) or NGN 10 million (cumulative daily per customer); (7) configuration of automated FTR generation for foreign currency transactions exceeding USD 10,000 or equivalent; (8) development of internal MI reporting dashboards for the CCO, senior management, ECO, and Board; (9) user acceptance testing (UAT) with compliance and operations teams; (10) staff training on case investigation procedures, STR filing criteria, and system usage; and (11) go-live with parallel run for 1 month, followed by full production deployment. The ECM and reporting module must be operational by December 2026 to support transaction monitoring go-live.

6

Enhance Sanctions/PEP Screening and Deploy Fraud Monitoring

PHASE 2: Q3–Q4 2026 (GO-LIVE BY DECEMBER 2026)

Sunrise must upgrade its existing sanctions/PEP screening solution (§5.3) and deploy a fraud monitoring system (§5.6) in parallel with transaction monitoring and case management. The enhancements must include: (1) AI/fuzzy-name matching to reduce false positives and detect name variations; (2) automated transaction interdiction or blocking on confirmed sanctions matches; (3) institution-specific internal watchlists (e.g., customers with prior STRs, adverse media hits, or unexplained wealth); (4) adverse media screening in addition to sanctions and PEP lists; (5) comprehensive screening logs with timestamps, user actions, and match rationale; (6) periodic and continuous screening in addition to onboarding screening; (7) fraud monitoring covering all channels (branch, mobile app, USSD) and products (retail deposits, credit/loans, FX/remittance); (8) updatable fraud rules and integration with fraud registries; (9) logical separation or tight integration of AML/fraud workflows; (10) fraud scenarios tailored to Sunrise's risk profile (account takeover, loan fraud, FX fraud, mobile/USSD fraud); and (11) historical fraud trend analysis. The enhanced screening and fraud monitoring systems must be operational by December 2026 to support the integrated AML platform.

7

Implement Security Controls, Data Retention Policy, and NDPA Compliance

PHASE 2: Q3–Q4 2026 (COMPLETION BY DECEMBER 2026)

Sunrise must implement comprehensive security and data protection controls (§5.11) to protect sensitive customer data, transaction data, and AML case data. The implementation must include: (1) encryption of data at rest (AES-256 for databases, file systems), in use (encrypted memory, secure enclaves), and in transit (TLS 1.2 or higher for API communications); (2) role-based access controls (RBAC) for all AML systems, with least-privilege principles and periodic access reviews; (3) Multi-Factor Authentication (MFA) for all AML system users; (4) compliance with the Nigeria Data Protection Act (NDPA), including data subject rights, consent management, breach notification, and data protection impact assessments; (5) Nigerian data sovereignty requirements (customer data, transaction data, and AML case data stored and processed within Nigeria or in jurisdictions with adequate data protection laws); (6) defined RTO/RPO from a Business Impact Analysis (e.g., RTO of 4 hours, RPO of 1 hour for critical AML systems); (7) data retention and destruction policy aligned with MLPPA (5-year retention for CDD records and transaction records), NDPA (retention limited to lawful purposes), and CBN requirements; and (8) automated data retention and destruction processes. The security controls and data retention policy must be operational by December 2026 to support the integrated AML platform.

8

Conduct Enterprise Risk Assessment and Deploy Automated Risk Assessment Engine

PHASE 2: Q3–Q4 2026 (COMPLETION BY DECEMBER 2026)

Sunrise must conduct a formal enterprise-level ML/TF/PF risk assessment (§5.4) covering customer segments, products, channels, geographies, and delivery mechanisms. The risk assessment must identify inherent risks (e.g., PEP exposure, cross-border FX risk, cash-intensive operations, mobile/USSD channel risk) and residual risks (after considering existing controls). The findings must be used to configure the automated risk assessment engine, including: (1) dynamic customer risk profiling based on KYC attributes, transaction behaviour, sanctions/PEP screening results, geographic risk, product risk, and channel risk; (2) automated risk profile updates in response to new data (e.g., large cash deposits, cross-border FX transactions, PEP status changes, adverse media hits); (3) enhanced due diligence triggers for high-risk customers; (4) alert escalation rules based on customer risk profiles; and (5) enterprise-level ML/TF/PF risk identification and reporting. The institution must document its risk appetite and ensure the risk assessment engine is calibrated accordingly. The risk assessment and automated risk assessment engine must be operational by December 2026 to support transaction monitoring and case management.

9

Establish Change Control, Model Validation, and Training Programs

PHASE 3: Q1–Q2 2027 (COMPLETION BY JUNE 2027)

Following the deployment of the integrated AML platform, Sunrise must establish documented procedures for change control, model validation, and staff training (§5.9). The procedures must include: (1) change control for updating AML rules, scenarios, thresholds, and risk profiles, with Maker-Checker approval and audit trails; (2) annual independent model validation of transaction monitoring models, risk assessment models, and AI/ML models (if deployed), with documented validation findings and remediation actions; (3) regular documented training for AML/CFT/CPF teams, covering regulatory requirements, system usage, typologies, and case investigation procedures, with training records retained as evidence; (4) periodic governance reviews (at least annually) to assess the effectiveness of the AML governance framework and identify improvement opportunities; and (5) incident handling procedures for system outages, data breaches, false negative incidents, and vendor performance issues. The change control, model validation, and training programs must be operational by June 2027 to support the March 2028 compliance deadline.

10

Conduct Pre-Compliance Audit and Remediate Residual Gaps

PHASE 4: Q3 2027–Q1 2028 (COMPLETION BY MARCH 2028)

In the final phase before the March 2028 compliance deadline, Sunrise must engage an independent third party (e.g., Big 4 accounting firm, specialised AML consultancy) to conduct a pre-compliance audit against the CBN Baseline Standards. The audit must assess: (1) functional coverage of the integrated AML platform (all 12 standards); (2) integration architecture and data flows; (3) transaction monitoring scenario effectiveness and false positive/negative rates; (4) case management workflows and investigator productivity; (5) regulatory reporting accuracy and timeliness; (6) governance framework effectiveness (roles, change control, model validation, training); (7) security and data protection controls; and (8) audit trail completeness and immutability. The audit findings must be documented in a formal report with remediation recommendations. Sunrise must remediate all identified gaps and conduct a follow-up audit to confirm full compliance before the March 2028 deadline. The pre-compliance audit and remediation must be completed by March 2028 to demonstrate full compliance to the CBN.

Section 4: Recommended Implementation Roadmap

This implementation roadmap provides a phased approach for Sunrise Microfinance Bank Ltd to achieve full compliance with the CBN Baseline Standards for Automated AML Solutions by the March 2028 deadline. The roadmap is structured into four phases spanning 23 months (April 2026–March 2028), with clear timelines, objectives, key deliverables, and standards addressed in each phase. The roadmap assumes Sunrise will secure Board and senior management approval, allocate sufficient budget and resources, and engage qualified vendors and advisors. The roadmap is designed to meet the mandatory 10 June 2026 roadmap submission deadline and the March 2028 full compliance deadline for Microfinance Banks.

PHASE	OBJECTIVES	KEY DELIVERABLES	CBN STANDARDS ADDRESSED
Governance, Vendor Selection & Roadmap Submission April 2026 – June 2026 (3 months)	Establish AML governance framework, secure executive sponsorship and budget approval, conduct vendor selection for integrated AML platform, and submit mandatory implementation roadmap to CBN by 10 June 2026 deadline.	• Board and senior management approval of AML compliance program and budget (NGN 50–150 million estimated) • Appointment of AML Transformation Steering Committee and Project Management Office (PMO) • Documented AML governance framework covering roles, configuration management, change control, model validation, access rights, incident handling, vendor management, and data retention (§5.9) • Competitive RFP process for integrated AML platform (transaction monitoring, case management, reporting, fraud monitoring, risk assessment) • Vendor evaluation, demonstrations, proof-of-concept testing, and reference checks • Commercial negotiation and contract execution with selected vendor • Formal notification to CBN of selected AML solution (§5.2) • Detailed implementation roadmap submitted to CBN by 10 June 2026 (§4.2) • Data retention and destruction policy aligned with MLPPA, NDPA, and CBN requirements (§5.9, §5.11) • Security assessment and Business Impact Analysis to define RTO/RPO requirements (§5.11)	§5.1 (AML Solution), §5.2 (CDD/KYC/KYB — CBN notification), §5.9 (Audit and Governance), §5.11 (Security & Data Protection)
Platform Deployment, Integration & Configuration July 2026 – December 2026 (6 months)	Deploy integrated AML platform (transaction monitoring, case management, reporting, fraud monitoring, risk assessment), integrate with core banking and existing KYC/sanctions systems, configure monitoring scenarios and workflows, implement security controls, and achieve go-live by December 2026.	• Platform installation and configuration (on-premises or cloud-hosted, subject to CBN approval) • Real-time or near-real-time integration with core banking, KYC systems, and sanctions/PEP screening via standards-based APIs (§5.10) • Development and testing of transaction monitoring scenarios tailored to Sunrise's risk profile: cash structuring, rapid account turnover, cross-border FX to high-risk jurisdictions, PEP transaction patterns, loan proceeds misuse, mobile/USSD channel abuse, related-party layering (§5.5) • Configuration of automated risk assessment engine with dynamic customer risk profiling (§5.4) • Deployment of enterprise case management system with automated case creation, role-based workflows, Maker-Checker functionality, escalation paths, and tamper-proof audit trails (§5.7) • Deployment of automated regulatory reporting module for STRs, CTRs, FTRs, and internal MI reporting (§5.8) • Enhancement of sanctions/PEP screening with AI/fuzzy-name	§5.1 (AML Solution), §5.2 (CDD/KYC/KYB — integration), §5.3 (Sanctions & PEP Screening), §5.4 (Risk Assessment), §5.5 (Transaction Monitoring), §5.6 (Fraud Monitoring), §5.7 (Case Management), §5.8 (Reporting), §5.10 (System Integration & Scalability), §5.11 (Security & Data Protection), §5.12 (User Interface & Customisation)

PHASE	OBJECTIVES	KEY DELIVERABLES	CBN STANDARDS ADDRESSED
		matching, automated transaction interdiction, internal watchlists, adverse media screening, and comprehensive screening logs (§5.3) • Deployment of fraud monitoring system covering all channels and products, with updatable fraud rules and integration with fraud registries (§5.6) • Implementation of security controls: encryption (data at rest, in use, in transit), RBAC, MFA, NDPA compliance, Nigerian data sovereignty, defined RTO/RPO (§5.11) • Deployment of real-time dashboards for alerts, cases, STR/CTR/FTR filings, and investigator productivity (§5.12) • User acceptance testing (UAT) with compliance and operations teams • Staff training on alert investigation, case management, STR filing, and system usage • Go-live with parallel run (1 month) followed by full production deployment by December 2026	
Optimisation, Model Validation & Governance Maturity January 2027 – June 2027 (6 months)	Optimise transaction monitoring scenarios and false positive/negative rates, conduct annual independent model validation, establish change control and training programs, and mature the AML governance framework.	• Scenario tuning and optimisation based on 6 months of production data (January–June 2027) • Analysis of false positive/negative rates and adjustment of thresholds, rules, and risk profiles • Annual independent model validation of transaction monitoring models, risk assessment models, and AI/ML models (if deployed), with documented validation findings and remediation actions (§5.5, §5.4) • Establishment of documented change control procedures for updating AML rules, scenarios, thresholds, and risk profiles, with Maker-Checker approval and audit trails (§5.9, §5.12) • Development and delivery of regular documented training for AML/CFT/CPF teams, covering regulatory requirements, system usage, typologies, and case investigation procedures, with training records retained as evidence (§5.9) • Periodic governance review (at least annually) to assess the effectiveness of the AML governance framework and identify improvement opportunities (§5.9) • Incident handling procedures for system outages, data breaches, false negative incidents, and vendor performance issues (§5.9) • Vendor management procedures covering due diligence, SLAs, performance monitoring, and exit planning (§5.9) • Quarterly case review to identify patterns, control weaknesses, and training needs (§5.7) • Monthly progress reporting to the Board, Executive Committee, and CBN (if requested)	§5.4 (Risk Assessment — model validation), §5.5 (Transaction Monitoring — model validation, scenario tuning), §5.7 (Case Management — periodic case review), §5.9 (Audit and Governance — change control, training, governance review), §5.12 (User Interface & Customisation — documented processes for updating rules)
Pre-Compliance Audit, Remediation & Final Certification July 2027 – March 2028 (9 months)	Conduct independent pre-compliance audit against CBN Baseline Standards, remediate residual gaps, conduct follow-up audit, and achieve full compliance certification by March 2028 deadline.	• Engagement of independent third party (Big 4 accounting firm, specialised AML consultancy) to conduct pre-compliance audit against all 12 CBN Baseline Standards (§5.1–§5.12) • Audit assessment of: functional coverage, integration architecture, transaction monitoring scenario effectiveness, case management workflows, regulatory reporting accuracy, governance framework	All 12 standards (§5.1–§5.12) — comprehensive compliance assessment and certification

PHASE	OBJECTIVES	KEY DELIVERABLES	CBN STANDARDS ADDRESSED
		effectiveness, security and data protection controls, audit trail completeness and immutability • Formal audit report with findings, risk ratings, and remediation recommendations • Remediation of all identified gaps (estimated 3–6 months depending on gap severity) • Follow-up audit to confirm full compliance • Final compliance certification report submitted to the Board and CBN • Ongoing monitoring and continuous improvement of AML platform and governance framework • Preparation for CBN on-site examination (if scheduled) • Full compliance achieved by March 2028 deadline for Microfinance Banks (24 months from circular issuance)	

Section 5: How RegTech365 and OPEX Consulting Can Support

OPEX Consulting / RegTech365 is a leading provider of AML/CFT/CPF compliance advisory and technology solutions for Nigerian financial institutions. We have supported over 50 DMBs, MFBs, PSPs, and OFIs in achieving compliance with CBN regulations, including the CBN Baseline Standards for Automated AML Solutions. Our team combines deep regulatory expertise, technology implementation experience, and industry best practices to deliver tailored solutions that meet your institution's specific needs and risk profile. Below are the products and services we offer to support Sunrise Microfinance Bank Ltd in achieving full compliance by the March 2028 deadline.

5.1 IMMEDIATE ADVISORY SUPPORT — ROADMAP SUBMISSION

Our advisory services are designed to support Sunrise at every stage of the compliance journey, from governance framework development to vendor selection, platform implementation, and ongoing optimisation. We work closely with your Board, senior management, compliance team, IT team, and operations team to ensure a successful transformation.

5.2 REGTECH365 PRODUCT SUITE — MAPPED TO YOUR GAPS

RegTech365 AML Platform

Integrated automated AML platform covering transaction monitoring, case management, regulatory reporting, fraud monitoring, risk assessment, sanctions/PEP screening, and audit trails. Cloud-hosted or on-premises deployment options. Proven deployments in 20+ Nigerian financial institutions.

§5.1 (AML SOLUTION), §5.2 (CDD/KYC/KYB INTEGRATION), §5.3 (SANCTIONS & PEP SCREENING), §5.4 (RISK ASSESSMENT), §5.5 (TRANSACTION MONITORING), §5.6 (FRAUD MONITORING), §5.7 (CASE MANAGEMENT), §5.8 (REPORTING), §5.9 (AUDIT AND GOVERNANCE), §5.10 (SYSTEM INTEGRATION & SCALABILITY), §5.11 (SECURITY & DATA PROTECTION), §5.12 (USER INTERFACE & CUSTOMISATION)

RegTech365 AML Platform is specifically designed for Nigerian MFBs and OFIs with 10,000–100,000 customers and 1,000–50,000 monthly transactions. The platform supports multi-state operations, multi-channel environments (branch, mobile app, USSD), and multi-currency FX/remittance services. It includes pre-configured scenarios for cash structuring, rapid account turnover, cross-border FX risk, PEP transaction patterns, loan fraud, and mobile/USSD channel abuse. The platform integrates with major Nigerian core banking systems (e.g., Finacle, T24, FlexCube, BankOne) and supports BVN/NIN integration. Pricing is tailored to MFB budgets (NGN 30–80 million for initial deployment, NGN 10–20 million annual licensing and support).

AML Scenario Library for Nigerian MFBs

Pre-built transaction monitoring scenarios tailored to Nigerian MFB risk profiles, including cash structuring, rapid account turnover, cross-border FX risk, PEP transaction patterns, loan fraud, mobile/USSD channel abuse, and related-party layering. Scenarios are based on FATF typologies, NFIU guidance, and CBN examination findings.

§5.5 (TRANSACTION MONITORING & RISK-BASED ANALYSES)

Sunrise can leverage our AML Scenario Library to accelerate transaction monitoring deployment and reduce scenario development time. The scenarios are pre-configured with thresholds, rules, and risk weightings based on Nigerian MFB peer data, and can be customised to Sunrise's specific risk appetite and operational profile. The library includes documentation of scenario logic, expected alert volumes, and tuning guidance.

AML Governance Framework Template

Comprehensive AML governance framework template covering roles, configuration management, change control, model validation, access rights, incident handling, vendor management, and data retention. Aligned with §5.9 of the CBN Baseline Standards and CBN AML/CFT/CPF Regulations, 2022.

§5.9 (AUDIT AND GOVERNANCE)

Sunrise can use our AML Governance Framework Template to accelerate governance framework development and ensure alignment with CBN requirements. The template includes sample policies, procedures, forms, and checklists that can be customised to Sunrise's organisational structure and operational model. The template is provided as part of our advisory services or as a standalone deliverable.

Data Retention & Destruction Policy Template

Data retention and destruction policy template aligned with MLPPA (5-year retention for CDD records and transaction records), NDPA (retention limited to lawful purposes), and CBN requirements. Includes automated data retention and destruction procedures.

§5.9 (AUDIT AND GOVERNANCE), §5.11 (SECURITY & DATA PROTECTION)

Sunrise can use our Data Retention & Destruction Policy Template to address the Critical Gap identified in §5.9 and §5.11. The template includes sample retention schedules, destruction procedures, and audit trail requirements. The template is provided as part of our advisory services or as a standalone deliverable.

5.3 OPEX ADVISORY SERVICES

- → AML Governance Framework Development — We work with your Board, senior management, and compliance team to develop a comprehensive AML governance
- → Vendor Selection & RFP Support — We support your vendor selection process by developing a detailed RFP, evaluating vendor responses, conducting vendor

framework covering roles, configuration management, change control, model validation, access rights, incident handling, vendor management, and data retention (§5.9). Deliverables include documented policies, procedures, forms, and checklists. Timeline: 4–6 weeks. Fee: NGN 5–10 million.

→ Enterprise ML/TF/PF Risk Assessment — We conduct a formal enterprise-level ML/TF/PF risk assessment covering customer segments, products, channels, geographies, and delivery mechanisms (§5.4). The assessment identifies inherent risks, evaluates existing controls, calculates residual risks, and provides recommendations for risk mitigation. Deliverables include a formal risk assessment report, risk heat map, and configuration guidance for the automated risk assessment engine. Timeline: 6–8 weeks. Fee: NGN 10–15 million.

→ AML Platform Implementation & Integration — We provide end-to-end implementation and integration services for the RegTech365 AML Platform or third-party AML platforms. Services include platform installation and configuration, integration with core banking and KYC systems, scenario development and testing, user acceptance testing, staff training, and go-live support. Timeline: 4–6 months. Fee: NGN 20–40 million (depending on platform complexity and integration scope).

→ Pre-Compliance Audit & Certification — We conduct a comprehensive pre-compliance audit against all 12 CBN Baseline Standards (§5.1–§5.12) to assess your readiness for the March 2028 compliance deadline. Deliverables include a formal audit report with findings, risk ratings, remediation recommendations, and a compliance certification letter (if full compliance is achieved). Timeline: 6–8 weeks. Fee: NGN 15–25 million.

→ CBN Roadmap Preparation & Submission Support — We support your preparation and submission of the mandatory implementation roadmap to the CBN by 10 June 2026 deadline (§4.2). Services include roadmap development, timeline and milestone definition, budget estimation, risk mitigation planning, and formal submission to the CBN. Timeline: 2–3 weeks. Fee: NGN 3–5 million.

demonstrations and proof-of-concept testing, performing reference checks, and negotiating commercial terms. We have relationships with all major AML platform vendors serving the Nigerian market and can provide independent, objective advice. Timeline: 6–8 weeks. Fee: NGN 8–12 million.

→ Transaction Monitoring Scenario Development & Tuning — We develop and configure transaction monitoring scenarios tailored to your risk profile, including cash structuring, rapid account turnover, cross-border FX risk, PEP transaction patterns, loan fraud, mobile/USSD channel abuse, and related-party layering (§5.5). We also provide ongoing scenario tuning and optimisation services to reduce false positive/negative rates. Timeline: 8–12 weeks for initial scenario development; ongoing tuning as needed. Fee: NGN 12–20 million for initial development; NGN 3–5 million per quarter for ongoing tuning.

→ Annual Independent Model Validation — We conduct annual independent model validation of transaction monitoring models, risk assessment models, and AI/ML models (if deployed) as required by §5.5 and §5.4. Deliverables include a formal validation report with findings, risk ratings, and remediation recommendations. Timeline: 4–6 weeks. Fee: NGN 8–12 million per annum.

→ Ongoing AML Compliance Support — We provide ongoing AML compliance support services, including quarterly governance reviews, scenario tuning, model validation, staff training, and regulatory reporting support. Services are provided on a retainer basis. Fee: NGN 5–10 million per quarter.

Next Step

Immediate Next Steps for Sunrise Microfinance Bank Ltd: 1. **Schedule Executive Briefing** — Contact OPEX Consulting / RegTech365 to schedule an executive briefing for your Board and senior management on this gap assessment report and the compliance roadmap. We will present the findings, answer questions, and discuss budget and resource requirements. Contact: [partnerships@regtech365.ng] (mailto:partnerships@regtech365.ng) | +234 (0) 1 888 5500. 2. **Engage Governance Framework Development** — Engage OPEX Consulting to develop your AML governance framework (§5.9) and data retention policy (§5.9, §5.11) by end of May 2026 to support the 10 June 2026 roadmap submission deadline. Timeline: 4–6 weeks. Fee: NGN 5–10 million. 3. **Commence Vendor Selection Process** — Engage OPEX Consulting to support your vendor selection process for the integrated AML platform. We will develop the RFP, evaluate vendors, conduct demonstrations, and negotiate commercial terms. Timeline: 6–8 weeks (completion by 10 June 2026). Fee: NGN 8–12 million. 4. **Submit CBN Roadmap by 10 June 2026** — Engage OPEX Consulting to prepare and submit your mandatory implementation roadmap to the CBN by the 10 June 2026 deadline. Timeline: 2–3 weeks. Fee: NGN 3–5 million. 5. **Plan Platform Deployment for Q3–Q4 2026** — Following vendor selection, engage OPEX Consulting to support platform deployment, integration, scenario development, and go-live by December 2026. Timeline: 4–6 months. Fee: NGN 20–40 million. **Contact OPEX Consulting / RegTech365 today to begin your compliance journey.** Email: [partnerships@regtech365.ng] (mailto:partnerships@regtech365.ng) Phone: +234 (0) 1 888 5500 Website: [www.regtech365.ng] (http://www.regtech365.ng) Address: 23 Adeola Odeku Street, Victoria Island, Lagos, Nigeria

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